Notice of Warranty Claim

Correspondence | Document ID: **CLM-CORR-001**

Date:	12 September 2024
Author/Sender:	Hartley Voss LLP for the Claimant
Recipient:	Camborne Fitch LLP for the Respondents

Hartley Voss LLP
1 Fenchurch Place
London EC3M 4AJ
Sent by email and by first-class post

12 September 2024

Camborne Fitch LLP
9 Alderman's Yard
London EC2A 3JR
For the attention of Nathaniel Okonkwo-Price

Our ref: FCM/MH-0142 Your ref: NOP/AH-0087

Dear Sirs,

Share Purchase Agreement dated 14 March 2024 relating to Hale Specialty Distribution Ltd – Notice of Warranty Claim pursuant to Clause 11.8

We write on behalf of our client, Meridian Chemical Holdings Ltd ("the Buyer"), further to the Share Purchase Agreement dated 14 March 2024 ("the SPA") between your clients Julian Ashworth-Hale and Rosalind Ashworth-Hale ("the Sellers") and the Buyer.

This letter constitutes formal notice under Clause 11.8 of the SPA of a Warranty Claim by the Buyer against the Sellers in respect of a breach of Warranty 7.3 (Material Contracts) of Schedule 4 to the SPA.

In summary, our client has established that Northbridge Coatings Ltd, which accounted for approximately 22% of the Target's revenue in FY23, gave written notice on 18 April 2024 that it would not renew its supply contract with the Target beyond 30 September 2024. This notice was received by Rosalind Ashworth-Hale and was not disclosed to the Buyer prior to Completion on 2 May 2024, whether in the Disclosure Letter or otherwise, in breach of Warranty 7.3.

Our client's initial assessment of loss arising from this breach is approximately £2,140,000, calculated by reference to the diminution in value of the Shares. A more detailed quantification will follow in due course, including expert evidence if required.

This letter is sent within 18 months of Completion in accordance with Clause 11.8(i) of the SPA. We reserve our client's right to commence proceedings in respect of this claim, and will do so within the period required by Clause 11.8(ii) if the matter is not resolved by agreement.

We look forward to hearing from you.

Yours faithfully,

Hartley Voss LLP